

MODEL TEST PAPER 4
INTERMEDIATE: GROUP – II

PAPER – 6A : FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT

PAPER 6A: FINANCIAL MANAGEMENT

Time Allowed – 3 Hours (Total time for 6A and 6B) Maximum Marks – 50

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*
4. *Working note should form part of the answer. Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of note. However, in answers to Questions in Division A, working notes are not required.*

PART I – Case Scenario based MCQs (15 Marks)

Write the most appropriate answer to each of the following multiple choice questions by choosing one of the four options given. All questions are compulsory.

Kaivalyabodhi Limited (**KbL**) has completed 35 years of operations in India. It has many subsidiary & associate companies in more than 100 countries. KbL's business s include home and personal care, foods and beverages, and industrial, agricultural and other products. It is one of the largest producers of soaps and detergents in India. The company has grown organically as well as through acquisitions. Over the years, the company has built a diverse portfolio of powerful brands, some being household names.

It is planning to acquire one of its competitors named Prestige Limited, which would enhance the growth of 'KbL'. The consideration amount will be 1.5X of its average Market Capitalization. Prestige limited has 1,30,000 outstanding equity shares and its shares were traded at an average market price of ₹ 45 as on the valuation date. The consideration amount will be paid equally in 5 years where the first installment is to be paid immediately. Prestige Limited has Ko of 15%

KbL will raise the funds required through debt and equity in the ratio of 30:70. The company requires the cost of capital estimates for evaluating its acquisitions, investment decisions and the performance of its businesses.

KbL's share price has grown from ₹ 150 to ₹ 301 in the last 5 years and it will continue to grow at the same rate. KbL pays dividends regularly. The company has recently paid a dividend of ₹ 8. For the calculation of equity, an average of 52 weeks high market price in the last 5 years is to be considered, which is as follows:

Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
MPS 185	MPS 210	MPS 252	MPS 325	MPS 280

Ke calculated as per growth model holds a weight of 0.6.

The company also wishes to calculate the equity's expectation using CAPM which holds a weight of 0.4. The risk-free rate is assumed as the yield on long-term government bonds that the company regards as about 8%. KbL regards the market-risk premium to be equal to 11 per cent. Its estimation on the Beta is 0.78.

KbL will issue debentures with FV of ₹ 10,500 which is to be amortised equally over the life of 7 years. The company considers the effective rate of interest applicable to an 'AAA' rated company with a markup of 200 basis points as its coupon rate. It thinks that considering the trends over the years, 'AAA' rate is 7.5%.

Ignore taxation. Based on the above details, answer the question 1 to 5:

- Calculate the cost of equity under both the methods
 - 11%, 16%
 - 18.65%, 10.34%
 - 18.65%, 16.58%
 - 16.5%, 9%
- Calculate the overall cost of equity
 - 17.82%
 - 17.63%
 - 15.37%
 - 35.25%
- Calculate the cost of debt, if the intrinsic value of debenture today is close to ₹ 9,740
 - 15%
 - 12%
 - 9.5%
 - 7.5%
- Calculate the WACC & the amount of purchase consideration
 - 18%, ₹ 90,00,000
 - 15.21%, ₹ 87,75,000
 - 16.07%, ₹ 87,75,000
 - 15.94%, ₹ 58,50,000

5. Present Value of Purchase consideration is close to ₹
- (a) 58,83,032
 - (b) 67,65,487
 - (c) 57,35,680
 - (d) 66,58,997
- (5 x 2 = 10 Marks)**
6. X Ltd has actual Sales of ₹ 20 lakhs and its Break-even sales are at ₹ 15 lakhs. The degree of total risk involved in the company is 6.5. Calculate the % impact on EPS, if EBIT is affected by 12%.
- (a) 40%
 - (b) 78%
 - (c) 312%
 - (d) 19.5%
- (2 Marks)**
7. Assuming $K_e = 11\%$, $K_d = 8\%$ and $K_o = 10\%$, Debt Equity ratio of the company
- (a) 2:3
 - (b) 3:2
 - (c) 1:2
 - (d) 2:1
- (2 Marks)**
8. Given:
- Earnings available to the equity shareholders ₹ 30 Lakhs,
 Cost of equity is 15%,
 Debt outstanding ₹ 150 Lakhs
 Value of the firm will be –
- (a) ₹ 200 Lakhs
 - (b) ₹ 250 Lakhs
 - (c) ₹ 350 Lakhs
 - (d) ₹ 300 Lakhs
- (1 Mark)**

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

Attempt any **two** questions out of the remaining **three** questions.

1. (a) You are required to CALCULATE the Total Current Assets of Ananya Limited from the given information:

Stock Turnover	= 5 times
Sales (All credit)	= ₹ 7,20,000
Gross Profit Ratio	= 25%
Current Liabilities	= 2,40,000
Liquidity Ratio	= 1.25

Stock at the end is ₹ 30,000 more than stock in the beginning.

(5 Marks)

- (b) Gitarth Limited has a current debt equity ratio of 3:7. The company is presently considering several alternative investment proposals costing less than ₹ 25 lakhs. The company will always raise the funds required without disturbing its current capital structure ratio.

The cost of raising debt and equity are as follows-

Cost of Project	Kd	Ke
Upto 5 lakhs	10%	12%
Above 5 lakhs & upto 10 lakhs	12%	13.5%
Above 10 lakhs & upto 20 lakhs	13%	15%
Above 20 lakhs	14%	16%

Corporate tax rate is 30%, CALCULATE:

- i) Cut off rate for two Projects I & Project II whose fund requirements are 15 lakhs & ₹ 26 lakhs respectively.
- ii) If a project is expected to give an after-tax return of 13%, determine under what conditions it would be acceptable. **(5 Marks)**
- (c) From the following details of X Ltd, PREPARE the Income Statement for the year ended 31st December:

Financial Leverage	2
Interest	₹ 2,000
Operating Leverage	3
Variable Cost as a Percentage of Sales	75%
Income Tax Rate	30%

(5 Marks)

2. (a) The financial statements of Gurunath Ltd is furnished below –

Balance Sheet as at 31st March

Particulars as at 31 st March		Note	₹
I	EQUITY AND LIABILITIES:		
(1)	Shareholders' Funds:		10,00,000
(2)	Non–Current Liabilities: 10% Debt		6,00,000
(3)	Current Liabilities		1,56,000
	Total		17,56,000
II	ASSETS		
(1)	Non–Current Assets		16,56,000
(2)	Current Assets – Trade Receivables		1,00,000
	Total		17,56,000

Additional Information:

- The existing credit terms are 1/10, net 45 days and average collection period is 30 days. The current bad debts loss is 1.5%. In order to accelerate the collection process further as also to increase sales, the company is contemplating liberalization of its existing credit terms to 2/10, net 45 days.
- It is expected that sales are likely to increase by 1/3 of existing sales, bad debts increase to 2% of sales and average collection period to decline to 20 days.
- Credit period allowed by the supplier is 60 days. Generally, operating expenses are paid 2 months in arrears. Total Variable expenses of the company constitute Purchases of stock in trade and operating expenses only.
- Opportunity cost of investment in receivables is 15%. 50% and 80% of customers in terms of sales revenue are expected to avail cash discount under existing and liberalization scheme respectively. The tax rate is 30%.
- The Company considers only the relevant or variable costs for calculating the opportunity costs on the funds blocked in receivables. Assume 360 days in a year and 30 days in a month.

Should the company change its credit terms?

(6 Marks)

- (b) The following information is given for QB Ltd.

Earnings per share	₹ 180
Dividend per share	₹ 45
Cost of capital	17%
Internal Rate of Return on investment	20%

CALCULATE the market price per share using -

- (a) Gordon's formula

(b) Walter's formula **(4 Marks)**

3. (a) Parmarth Limited is a manufacturer of computers. Owing to recent developments in Artificial Intelligence (AI), it is planning to introduce AI in its computer process. This would result into an estimated annual savings as follows:

- (i) Savings of ₹ 3,50,000 in production delays caused by inventory problem.
- (ii) Savings in Salaries of 5 employees with an annual pay of ₹ 4,20,000 per annum
- (iii) Reduction in Lost sales of ₹ 1,75,000
- (iv) Gain due to timely billing is ₹ 3,25,000

The project would result in annual maintenance and operating costs as follows, which are to be paid in advance (at the beginning)

YEAR	1	2	3	4	5
COST	1,80,000	2,00,000	1,20,000	1,10,000	1,30,000

Furthermore, the new system would need 2 AI specialists' professional drawing salaries of ₹ 6,50,000 per annum per person. The purchase price of the new system for installing AI into computers would involve an outlay of ₹ 21,50,000 and installation cost of ₹ 1,50,000.

75% of the total value for depreciation would be paid in the year of purchase and the balance would be paid at the end of the 1st year. The new system will be sold for ₹ 1,90,000. This is the only asset in the block for Income tax purpose.

The life of the system would be 5 years with the hurdle rate of 12%. Depreciation will be charged at 40% on WDV basis, corporate tax rate is 25% and capital gains tax rate is at 20%.

CALCULATE NPV and advise the management on the acceptability of the proposal. Also calculate ARR & PI. **(8 Marks)**

- (b) DISCUSS the parameters of Lintner's Model. **(2 Marks)**
- 4. (a) DISCUSS the Costs of Availing Trade Credit **(4 Marks)**
- (b) Briefly EXPLAIN the following –
 - i. Fully Hedged Bonds
 - ii. Medium Term Notes
 - iii. Floating Rate Notes
 - iv. Euro Commercial Papers **(4 Marks)**
- (c) WHAT is the range of DOL? **(2 Marks)**

OR

DISCUSS the role of a chief financial officer. **(2 Marks)**